



Celestica Inc. (TSX/NYSE: CLS)

Sufiya Rahemtulla & Maheen Choudry

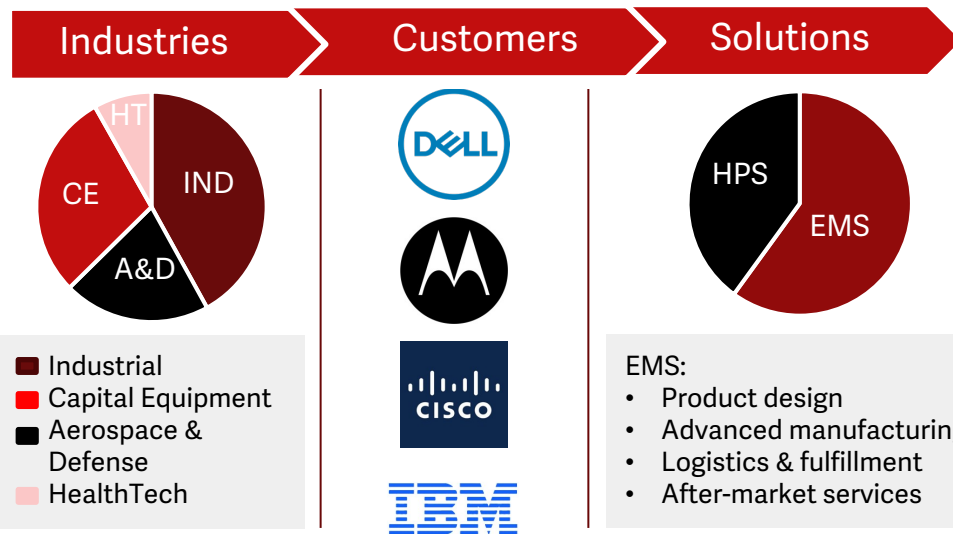
Company Overview



Global leader in design, manufacturing, hardware platform and supply chain solutions

- Founded in **1994**; went public in **1998** with **largest EMS IPO in history**
 - **9.45% market share**; net income grew faster than competitors by 19% in 2022
- Operating geographic breakdown: **25% North America, 5% Europe, 70% Asia**

Historical Stock Performance



Management/Ownership Analysis



Robert A. Mionis - CEO

- **Education:** University of Massachusetts Amherst (BSEE, Electrical & Electronics Engineering)
- **Time with Celestica & Salary:** since 2015, base salary **\$950,000**
- **Exceeded** 2022 financial performance & booking targets, previously operating partner at Pamplona & CEO of StandardAero

Yan Etienvre - COO

- Marquette University (**EMBA**), INSAT (BSc)
- With Celestica since **2021**
- Base salary: **\$485,000**

Mandeep Chawla - CFO

- Queen's University (**MBA**), McMaster University (Commerce), CPA & CMA
- With Celestica since **2017**
- Base salary: **\$550,000**

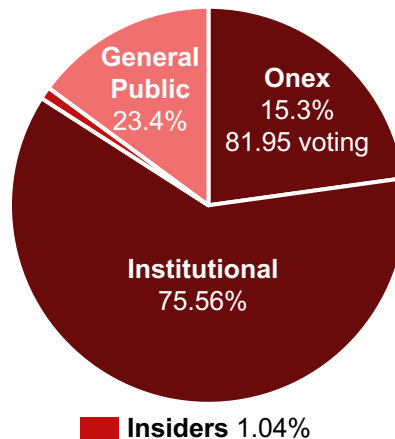
Jason Phillips – President (CCS)

- North Carolina University (**BSc** – Business)
- With Celestica since **2019**
- Base salary: **\$485,000**

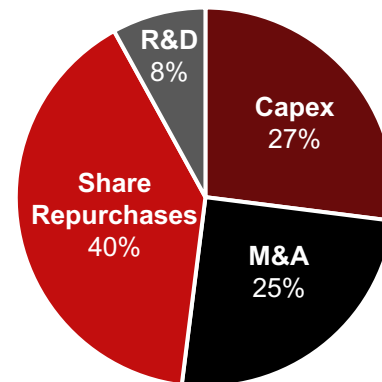
Todd C. Cooper - President (ATS)

- MIT (**MBA**, MechEng)
- With Celestica since **2018**
- Base salary: **\$485,000**
- 29% ATS growth in 2022

Major Shareholders



Capital Allocation



Incentives & Share Ownership Guidelines

- **Share Ownership Guidelines:** each **above** by 0.7x - 20.3x salary
- **Cash Based Incentives:** each **above** targets in 2022 by 56% - 150%
- **Equity Based Incentives:** RSU's & PSU's

Risks & Catalysts



Risks

1

High Customer & Segment Concentration

- Diversify customer base/grow existing industries
- Invest in R&D to keep up with technology & maintain loyal customers

2

Uncertain International Political & Economic Conditions

- High diversification of operating locations
- Strong government/stakeholder relationships
- Demand forecasting & preparation

3

Highly Competitive EMS Industry

- Invest in R&D, analyze competitors & tech trends
- Maintain strong customer relationships
- Strong operational efficiency to reduce costs/maintain price competitiveness

Catalysts

1

Onex to convert MVS shares to SVS shares within 6 months (*66% less voting power*)

2

Potential M&A

3

Expansion of HPS business

Industry Analysis



EMS market growing at CAGR of 6.8% from 2022 to 2029 as demand for outsourced manufacturing services increases

Key Drivers

1. OEM'S outsourcing (cost efficiency)
2. Tech advancements & innovation
3. Globalization & market access
4. Supply chain resilience/flexibility

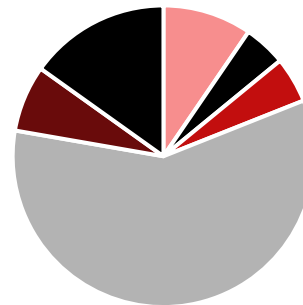
Trends

- Wearable & smart devices
- Renewable energy
- Increase in technology in medical devices
- Greener electronic devices

Government Restrictions (Highly Regulated)

- ROGS (Restriction of Hazardous products) -> EU
- WEEE (Waste Electrical & Electronic Equipment) -> EU
- IP (Intellectual Property Protection)

Key Players



■ Celestica

■ Jabil Inc

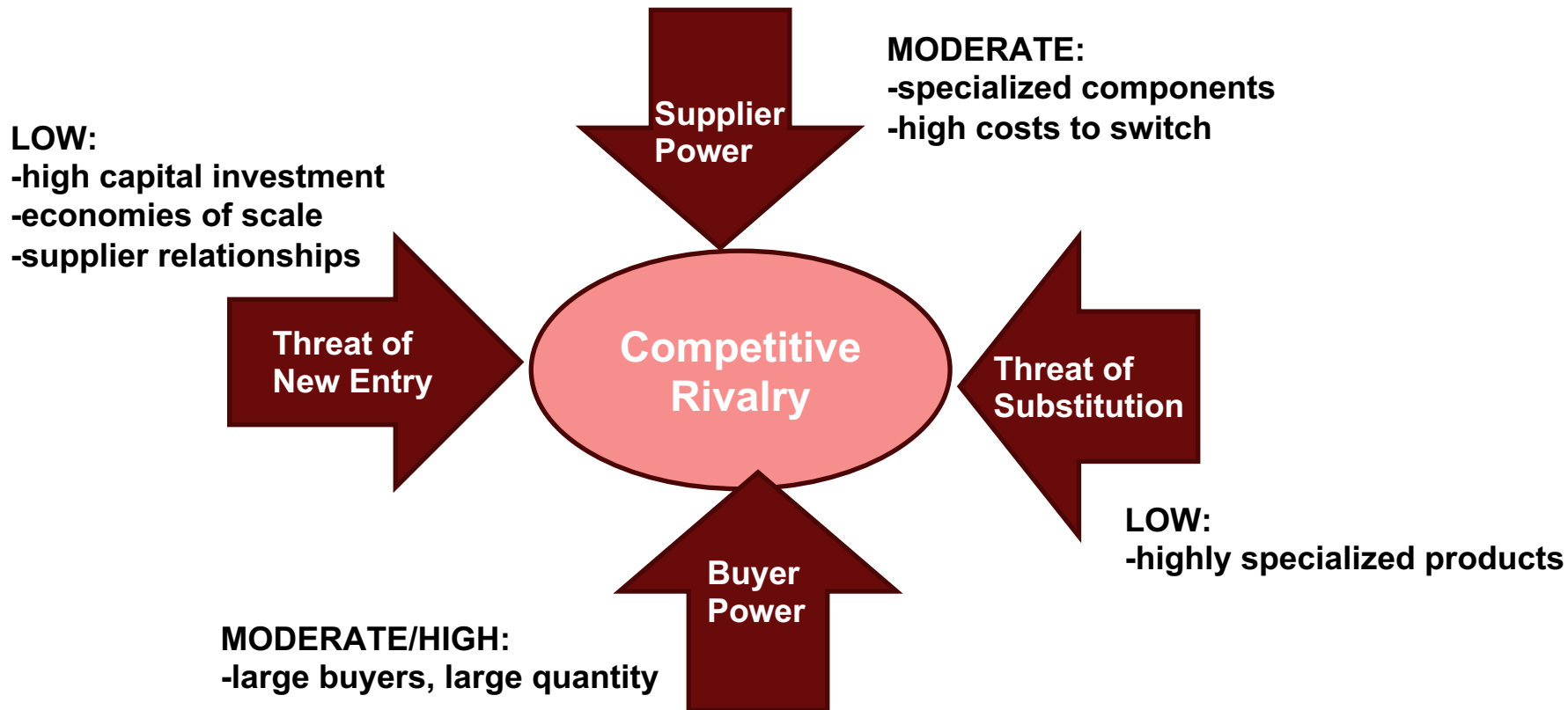
■ Fabrinet

■ Plexus Corp

■ Benchmark

■ Sanmina Corp

Porters 5 Forces



Key Competitors



The Jabil logo consists of the word "JABIL" in a bold, blue, sans-serif font, with a small blue swoosh under the letter "A".

- **Market Share: 58.17%**
- **Dividend yield '23 : 0.25%**
- **Profit Margin '23: 2%**

- Growing health care equipment & supplies market
- Customers are leaders in segments (Apple), customer concentration & few suppliers
- Major issues with legal requirements

The Plexus logo features the word "PLEXUS" in a bold, white, sans-serif font, set against a solid red rectangular background.

- **Market Share: 7.06%**
- **Dividend yield '23 : N/A**
- **Profit Margin '23: 3%**

- High return on capital expenditure
- Weak demand forecasting -> high inventory, lack of product range

The Sanmina logo features a stylized red "S" icon above the word "SANMINA" in a black, sans-serif font.

- **Market Share: 14.98%**
- **Dividend yield '23 : N/A**
- **Profit Margin '23: 3%**

- Strong entry to new markets & M&A
- Lack of R&D investment/even product diversification
- Stock price decreased 15% after Q4 report

Financial Analysis



- **PE:** 17.71
average/low
- **BVPS:** 13.79
lower than market value of 39.54
- **Price to Book Ratio:** 2.87
- **Free Cash Flow:** \$267 million
- **Debt-to-Equity Ratio:** 2.35
manifesting industry highly capital intensive

Operating Margins:

TTM: 0.046

2022: 0.037

2021: 0.032

EBITDA:

TTM: \$362,700

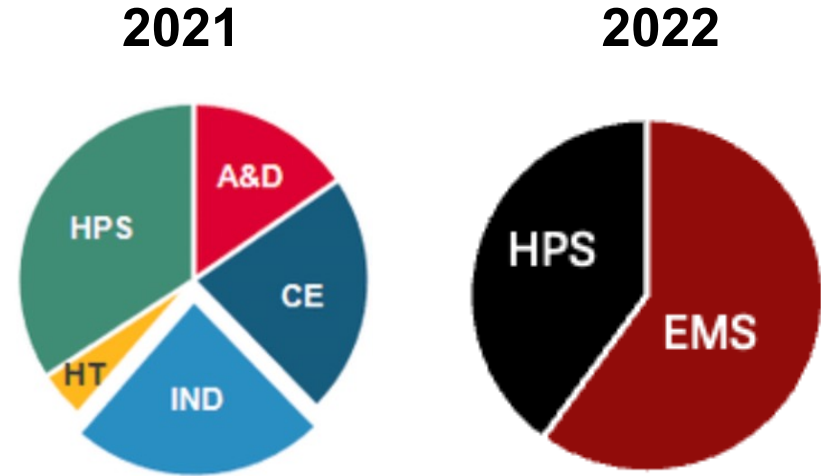
2022: \$270,000

2021: \$178,000

Celestica Accelerating Growth By Strategic R&D Investments



- Technological innovation key driver for industry
- Increase in aerospace & defense spending due to Eastern Europe war
- Competitive advantage of HPS & lifecycle solution segments
- “Corporate investments in AI and machine learning to stimulate demand for high value complex products in near term”
- 59% of 2022 revenue from HPS segment
- data center CAGR of 17% for 2023-2025

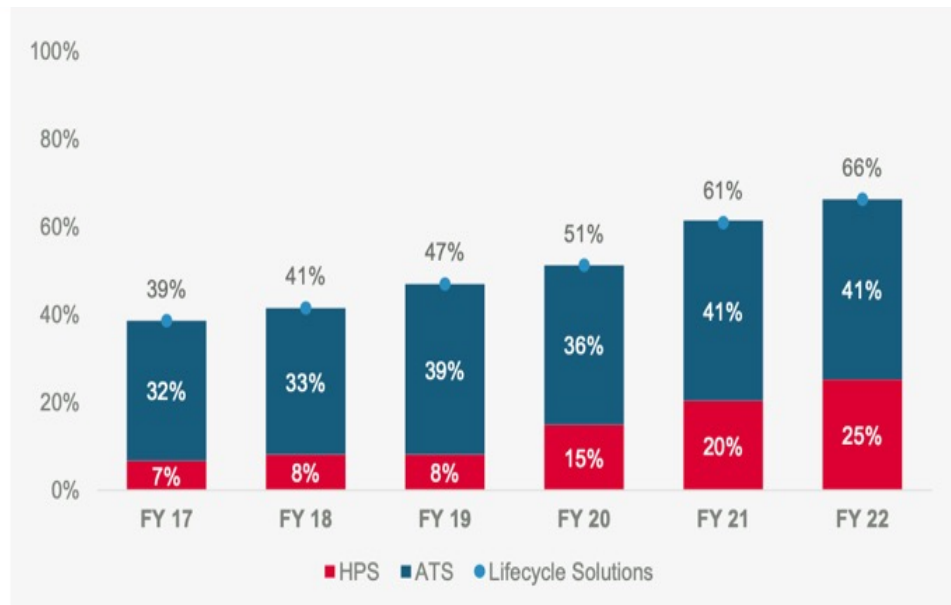


“...to enhance our competitiveness, we continue to focus on expanding our service offerings and capabilities beyond our traditional areas of EMS expertise, including expanding our HPS and after-market services offerings”

Greater TAM Despite Less Supply Chain Issues



- Market believes supply issues = smaller TAM
 - Higher investment in CCS
 - Continued investments in manufacturing services
 - Supply-chain services from start to finish
-
- EPS expected to grow 19.5% in 2024, industry averages 12.4%



Valuation Summary



DCF

Implied Share Price: \$40.66

Current Share Price: \$29.82

Upside: 36.4%

Timeline: 5 years

Assumptions:

WACC = 8.8%

TGR: 3%

7% annual revenue growth rate

Trading Comps

Average margins & multiples

Anticipated growth -> average PE of 17.71

Valuation Models



Celestica - Trading Comps

Date	2023-12-29						
Currency	USD						
		Trading Multiples					
		Margin	EV / Revenue		EV / EBITDA		P / E
Ticker	Company Name	'23	'22	'23	'22	'23	'23
CLS	Celestica	3%	0.7x	0.7x	19.5x	14.5x	17.7x
FS	Fabrinet	9%	2.9x	2.5x	26.4x	21.3x	28.9x
BHE	Benchmark	2%	0.5x	0.4x	9.2x	8.2x	14.7x
SANM	Sanmina Corp	3%	0.4x	0.3x	30.8x	28.8x	9.9x
JBL	Jabil Inc	2%	0.5x	0.5x	7.8x	7.2x	19.8x
PLXS	Plexus Corp	3%	0.5x	0.5x	18.6x	0.5x	21.9x
KTCC	Key Tronic Corporation	1%	0.3x	0.3x	20.6x	11.1x	10.9x
Mean		3%	0.8x	0.7x	19.0x	13.1x	17.7x
Median		3%	0.5x	0.5x	19.5x	11.1x	17.7x
		Implied Share Price					
Calculating Implied Share Price		Net Income	Revenue	EBITDA	Net Income		
Minimum		1,981,207	\$ 16.90	\$ 7.20	\$ 16.65		
Mean		3,532,710	\$ 46.09	\$ 36.43	\$ 29.69		
Median		3,540,583	\$ 31.11	\$ 30.38	\$ 29.75		
Maximum		5,768,990	\$ 158.85	\$ 84.40	\$ 48.48		

Celestica DCF

x	Ticker	CLS	Implied Share Price	\$ 40.66	Update (Downside)	36.4%					
	Date	2023-12-28	Today's Share Price	\$29.82							
Assumptions											
Valuation Assumptions											
WACC											
TGR											
Income Statement											
x		2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Revenue		5,888,300	5,748,100	5,634,700	7,250,000	7,863,100	8,413,517	9,002,463	9,632,636	10,306,920	11,028,405
% growth			-2.4%	-2.0%	28.7%	8.5%	7.0%	7.0%	7.0%	7.0%	7.0%
EBIT		149,300	127,900	167,700	263,300	346,200	420,676	444,234	471,776	503,857	541,142
No of sales		2.5%	2.2%	3.0%	3.6%	4.4%	5.0%	5.6%	6.2%	6.8%	7.4%
Taxes		29,500	29,600	32,100	58,100	62,000	84,135	88,847	94,355	100,771	108,228
No of EBIT		19.8%	23.1%	19.1%	22.1%	17.9%	20.0%	20.0%	20.0%	20.0%	20.0%
Cash Flow Items											
D&A		135,400	124,700	126,300	144,800	154,600	176,684	189,052	202,285	216,445	231,596
No of sales		2.3%	2.2%	2.2%	2.0%	2.1%	2.1%	2.1%	2.1%	2.1%	2.1%
CapEx		38,700	51,000	364,300	108,900	122,800	168,270	180,049	192,653	206,138	220,568
No of sales		0.7%	0.9%	6.5%	1.5%	1.6%	2.0%	2.0%	2.0%	2.0%	2.0%
Change in NWC		(109,100)	(23,500)	(78,900)	(88,800)	(53,300)	(92,631)	(99,027)	(105,959)	(113,376)	(121,312)
No of sales		(1.9%)	(0.4%)	(1.4%)	(1.2%)	(0.7%)	(1.1%)	(1.1%)	(1.1%)	(1.1%)	(1.1%)
DCF							3	4	5	6	7
x		2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
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No of EBIT		19.8%	23.1%	19.1%	22.1%	17.9%	20.0%	20.0%	20.0%	20.0%	20.0%
EBIT							336,541	355,387	377,421	403,086	432,914
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No of sales		(1.9%)	(0.4%)	(1.4%)	(1.2%)	(0.7%)	(1.1%)	(1.1%)	(1.1%)	(1.1%)	(1.1%)
Unlevered FCF							252,323	255,362	261,095	270,016	282,630
Present Value of FCF							231,867	224,079	216,120	213,929	211,403
Terminal Value											
Enterprise Value											
Enterprise Value							1,099,398				
Debt							374,500				
Equity Value							728,800				
Shares							4,835,682				
Share Price							15,000,000				
x	Share Price						\$ 40.66				

Thanks!